junked. Routes should be allotted or auctioned to private operators with stringent quality conditions and under a regulated fare regime.

This policy of permitting legal private operations in the stage carriage business will bring in strong players and help upgrade the quality and frequency of services. This would also sound the formal death knell of STUs. As state roadways have several assets—buses, workshops, domain knowledge and the like—it would be prudent to separate bus operations and bus stations management businesses. The bus operations businesses can be sold off. The bus stations businesses can be converted into a bus stations asset management company state-wise, owned by the government (this will also take care of ownership-related disputes over bus station lands), which can use the best land and building asset management concepts to develop and manage the bus-port business and assets.

Policy Solution to Revitalize Real-Estate Sector

The residential real-estate business will have to be fundamentally restructured. Like their counterparts in other businesses, existing insolvent developers need to be ousted from their projects and lenders should take required haircuts to make projects financially viable.

In India, we have an individual ownership model of residential real estate. All our incentives, tax and non-tax, are designed to basically serve this model. At the same time, we have totally irrational rent control laws, which discourage corporates and non-corporates from building and managing houses/apartments for rent. As capital gains have disappeared, the individual ownership model has become quite unattractive, even to individuals. Deterred by rent control laws and lack of tax and non-tax incentives, corporates have not gone into residential housing with leasing as a business model. The policy solution has to be built around the fundamental structural reforms in the real estate sector.